

TABLE 10.2 Performance Statistics By Decade for All Value Stocks, Deep Value Stocks, and Glamour Value Stocks (1951 to 2013)

	Deep Value Portfolios	Glamour Value Portfolios	All Value Portfolios
1951–1959			
Compound Annual Growth Rate	15.74%	12.30%	14.39%
Arithmetic Average Return	15.82%	14.34%	15.82%
Standard Deviation	20.40%	23.63%	21.47%
Sharpe Ratio	0.85	0.61	0.74
1960–1969			
Compound Annual Growth Rate	19.24%	5.90%	12.71%
Arithmetic Average Return	18.16%	4.65%	11.40%
Standard Deviation	15.42%	9.89%	14.38%
Sharpe Ratio	1.18	0.47	0.79
1970–1979			
Compound Annual Growth Rate	8.27%	9.13%	8.82%
Arithmetic Average Return	9.44%	11.12%	10.28%
Standard Deviation	7.86%	14.35%	11.30%
Sharpe Ratio	1.20	0.77	0.91
1980–1989			
Compound Annual Growth Rate	14.92%	13.10%	14.18%
Arithmetic Average Return	15.21%	13.14%	14.18%
Standard Deviation	11.69%	13.91%	12.55%
Sharpe Ratio	1.30	0.95	1.13
1990–1999			
Compound Annual Growth Rate	23.95%	6.92%	15.52%
Arithmetic Average Return	22.91%	5.09%	14.00%
Standard Deviation	10.99%	12.56%	14.68%
Sharpe Ratio	2.08	0.41	0.95
2000–2013			
Compound Annual Growth Rate	12.97%	8.00%	10.69%
Arithmetic Average Return	14.92%	9.73%	12.32%
Standard Deviation	12.97%	11.41%	12.27%
Sharpe Ratio	1.15	0.85	1.00

Data Source: Eyquem Investment Management LLC, Compustat.

Table 10.2 and Figure 10.5 show that the Deep Value portfolios consistently outperformed both the Glamour Value portfolios and the All Value Stocks portfolios. Only in the 1970 to 1979 period did the Deep Value portfolios underperform.

We can break out the average enterprise multiples for each portfolio in each year to better understand the drivers of performance. Figure 10.6